

Marketing Research Project

Applying the Marketing Research Process to **Danone Egypt's Distribution and Availability Challenge**

Based on Malhotra, Essentials of Marketing Research (Chapters 1 to 5)

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**Revision 4 (final): all external figures re-verified against primary sources on 6 July 2026;
consumer survey N = 35**

Table of Contents

TOC \h \o "1-2"

A Note on Sources and Citations

Throughout this report, every externally sourced figure or factual claim is followed by a bracketed citation number, for example ^[2]. Each number corresponds to a numbered entry in the References section on the final page, where the full source and a direct link are given so that any reader can verify the information. The same source keeps the same number wherever it appears. Industry figures are drawn from company materials and market-research and government sources of differing dates and authority; readers should treat them as best-available secondary estimates rather than audited figures.

Executive Summary

This project applies the marketing research process taught across the first five chapters of Malhotra's Essentials of Marketing Research ^[1] to a real business problem facing Danone Egypt in the country's dairy market. Danone competes mainly through premium, well-known brands such as Activia and Danette, yet it reaches fewer retail outlets than Juhayna, the distribution benchmark in the category. In a market where small traditional grocers account for the overwhelming majority of outlets and roughly three quarters of retail food sales ^[4], limited shelf presence is a structural disadvantage that can directly translate into lost sales and brand switching.

The management decision problem is whether Danone Egypt should expand its distribution reach to compete with Juhayna's coverage. The corresponding marketing research problem is to determine how limited product availability affects Egyptian consumers' yogurt purchase decisions and Danone's lost sales, and to identify the distribution barriers from the retailer's point of view. The study combines an exploratory phase (secondary data and qualitative depth interviews with small-shop owners) with a descriptive phase (a structured consumer survey distributed electronically).

Secondary data confirm a coverage gap: Juhayna serves about 136,000 retail outlets through 38 distribution centers and a fleet of 1,000 vehicles ^[2], while Danone Egypt reaches roughly 100,000 points of sale through 31 distribution centers, about 26 percent fewer outlets, supplemented by a rural micro-distribution program ^[3]. The primary data have now been collected and analyzed. A consumer survey of 35 respondents and a set of five retailer depth interviews together show that the perceived availability gap is real but modest at the consumer level, that it is driven entirely by supply-side factors at the shop, and that it converts into measurable lost sales concentrated in Danone's branded premium line. On that basis the report answers the management decision problem in favour of a selective expansion of reach. The full design, instruments, findings, and recommendations follow.

Headline results (consumer survey, N = 35): availability ranks last of six purchase drivers (mean 3.14 of 5), yet Danone's perceived availability (4.03) trails Juhayna's (4.56) by 0.53 of a point; 11 respondents prefer Danone while only 5 buy it most, and 32 of 35 bought a competing brand the last time Danone was missing. The five retailer interviews explain why: Juhayna visits the shop more often, delivers to the door, offers returns and credit, and supplies the cooler, whereas Danone usually does none of these.

Chapter 1: Introduction to Marketing Research and Project Background

1.1 What Marketing Research Is

Marketing research is the systematic and objective identification, collection, analysis, dissemination, and use of information for the purpose of improving decision making related to the identification and solution of problems and opportunities in marketing ^[1]. It links the organization to its market environment and reduces the uncertainty that surrounds managerial decisions. In this project, marketing research is used to investigate a specific, real decision that Danone Egypt faces about its route to market.

1.2 The Marketing Research Process

Malhotra describes marketing research as a six-step process ^[1]. This project is organized around that process, and each chapter of this report corresponds to one or more of these steps:

1. Defining the problem (Chapter 2).
2. Developing an approach to the problem (Chapter 2).
3. Formulating the research design (Chapter 3).
4. Collecting the data through qualitative and survey methods (Chapters 4 and 5).
5. Preparing and analyzing the data (Chapter 5).
6. Preparing and presenting the report (this document and the accompanying presentation).

1.3 Company Background: Danone Egypt

Danone is a multinational food company with a strong global position in dairy and plant-based products. In Egypt, Danone competes in the dairy category, with a portfolio led by yogurt and dairy desserts. Its best-known brands include Activia, positioned around digestive health, and Danette, a dairy dessert. Danone's strategy in Egypt has emphasized premium, branded, value-added products and brand building, rather than the broad, low-cost mass distribution pursued by some local competitors ^[3].

1.4 Industry Background: The Egyptian Dairy Market

The Egyptian dairy market is large and growing: the dairy products and eggs category is valued at roughly USD 2.59 billion in 2025 and projected to more than double by 2034 ^{[6][7]}. Competition is intense and includes vertically integrated local champions such as Juhayna and Domty, regional players such as Almarai (through Beyti), and multinationals such as Danone and Lactalis ^[5]. A defining feature of the market is the dominance of traditional trade: small grocery stores account for the large majority of retail outlets and the bulk of retail food sales ^[4], which makes physical availability at the neighbourhood level a critical success factor.

1.5 The Observed Problem and Purpose of the Project

During earlier coursework the group observed that Danone does not reach every corner of the Egyptian market in the way that Juhayna does. Juhayna operates an extensive owned distribution network with a large refrigerated fleet that services retailers nationwide ^[2], whereas Danone's coverage is narrower ^[3]. The purpose of this project is to investigate this distribution

and availability gap using the marketing research process, to quantify its effect on consumer behaviour, and to provide an evidence-based recommendation to management.

Chapter 2: Defining the Problem and Developing an Approach

Defining the marketing research problem is the most important step in the research process ^[1]. A clear problem definition requires distinguishing the management decision problem from the marketing research problem, and then developing an approach that specifies the objectives, the theoretical framework, the research questions, and the hypotheses.

2.1 Problem Identification and the Problem Audit

Before the problem can be defined it must first be identified and understood. Following Malhotra, problem identification draws on four tasks: discussions with the decision makers, interviews with industry experts, analysis of secondary data, and qualitative research. The structured discussion with the decision maker is known as the problem audit, a thorough review of the history of the problem, the alternative courses of action available, the criteria by which those actions will be judged, and the way the eventual answer will be used.

For this project the problem audit was carried out mainly through an internal source. One of our team members, Tariq, worked at Danone Egypt and provided first-hand knowledge of the distribution and availability issue: how it arose, the options the company weighs to address it, and the objectives management applies when judging those options. This internal input played the role of the decision-maker discussion that a problem audit requires, and it was complemented by the analysis of secondary data from company and market sources and by qualitative depth interviews with small-shop owners. Together these tasks moved the study from a broad symptom, weaker shelf presence than Juhayna, to a clearly defined problem.

The problem audit covered the following points:

- History of the problem: Danone reaches about 100,000 outlets against Juhayna's coverage of roughly 136,000 outlets and 38 distribution centres, a gap of about 26 percent that is widest in traditional grocery and rural trade.
- Alternative courses of action: whether Danone should expand its distribution reach, for example by extending its rural micro-distributor (OMDA) model and field coverage, or maintain its current footprint.
- Criteria for judging the alternatives: the ability to match Juhayna's availability, to recover sales lost to unavailability and brand switching, and to reach the underserved traditional and rural segments.
- Use of the findings: to decide whether investment in route-to-market and distribution is justified, which is the management decision problem stated below.

Because the project was carried out by an external student team rather than by Danone's own management, a full formal problem audit with the company's distribution decision maker was not possible. The internal-source input above is used as a close and credible substitute, in keeping with the transparent, learning-oriented scope of this study.

2.2 Management Decision Problem

The management decision problem asks what the decision maker needs to do. It is action oriented. For Danone Egypt it is stated as: Should Danone Egypt expand its distribution reach to compete with Juhayna's coverage in the Egyptian dairy market?

2.3 Marketing Research Problem

The marketing research problem asks what information is needed and how it can best be obtained. It is information oriented. Following Malhotra, it is expressed first as a broad statement and then broken into specific components that guide the rest of the study.

Broad Statement

To determine the extent to which limited product availability affects Egyptian consumers' yogurt purchase decisions and Danone's brand switching and lost sales, and to identify the distribution barriers from the retailer's perspective.

Specific Components

- Component 1. Purchase behaviour and channel: where consumers buy yogurt and how important availability is in their brand choice.
- Component 2. Comparative availability: how the perceived availability of Danone compares with Juhayna and other competitors.
- Component 3. Lost sales and switching: how often consumers switch away from Danone specifically because it is unavailable, and the resulting lost sales.
- Component 4. Segmentation of the gap: whether the availability gap differs by area type (urban versus rural) and store type.
- Component 5. Retailer-side barriers: from the grocer's perspective, what prevents stocking Danone compared with Juhayna (margins, representative visits, delivery and credit terms, refrigeration).

2.4 Components of the Approach

Objective and Theoretical Framework

The study draws on the marketing principle that distribution, the place element of the marketing mix, converts brand preference into actual purchase only when the product is physically available at the point and moment of decision. When a preferred brand is absent from the shelf, consumers frequently substitute an available competitor, generating lost sales for the absent brand. This framework links three constructs: physical availability, consumer purchase behaviour, and brand switching.

Analytical Model

The conceptual model proposes that the perceived availability of a brand influences purchase of that brand, both directly and through its effect on the consumer's likelihood of substituting a competing brand when the preferred brand is not found. Availability is expected to interact with area type, with the gap between Danone and Juhayna being wider outside the major cities.

Research Questions

- RQ1. Where do Egyptian consumers buy yogurt, and how important is availability in their brand choice?
- RQ2. How does the perceived availability of Danone compare with Juhayna and other competitors?
- RQ3. How often do consumers switch away from Danone because it is unavailable?
- RQ4. Does the perceived availability gap differ by area type and store type?
- RQ5. From the retailer's side, what are the barriers to stocking Danone compared with Juhayna?

Hypotheses

- H1: Product availability significantly influences yogurt brand choice.
- H2: Danone's perceived availability is significantly lower than Juhayna's.
- H3: A significant share of consumers have switched from Danone to a competitor because Danone was unavailable.
- H4: The perceived availability gap is larger in rural and non-urban areas than in major cities.

Information Needed

To address the research problem the study needs: consumer purchase locations and frequency; brand awareness, preference, and actual purchase; the perceived availability of each major brand; the incidence and consequences of not finding Danone; attitudes toward availability; and demographic and geographic descriptors. From retailers the study needs information on which brands are stocked, the frequency of sales-representative visits, delivery and credit terms, refrigeration support, and demand for Danone relative to its availability.

Chapter 3: Research Design and Secondary Data

3.1 Research Design

A research design is the framework or blueprint for conducting the research. Designs are broadly classified as exploratory or conclusive, and conclusive designs are further divided into descriptive and causal ^[1]. This project uses a combination design. An exploratory phase, based on secondary data and qualitative depth interviews, is used to understand the distribution issue and refine the survey. A descriptive, cross-sectional phase, based on a single structured consumer survey administered once to the sample, is used to quantify the relationships of interest.

3.2 Secondary Data

Secondary data are data collected for some purpose other than the problem at hand ^[1]. They are quick and inexpensive to obtain and were used here to establish the existence and scale of the distribution gap before primary data collection. The key findings are summarized below.

3.2.1 The Distribution Gap

Metric	Juhayna [2]	Danone Egypt [3]
Distribution centers	38	31 (7 direct + 24 indirect)
Fleet	1,000 vehicles	Smaller; converting to refrigerated EVs
Retail outlets reached (self-reported)	~136,000	~100,000 (plus ~50,000 rural retailers via the OMDA micro-distribution project)

Sources: Juhayna distribution figures ^[2]; Danone Egypt distribution figures ^[3].

Both reach figures are self-reported company numbers and should be read as indicative rather than audited; they are nevertheless the best available like-for-like comparison, and they show Danone serving about 26 percent fewer outlets than Juhayna ^[2]. Juhayna pairs its reach with an owned refrigerated fleet that calls on retailers directly, while Danone reaches a smaller base of outlets and has extended into rural areas through a micro-distribution program rather than through a comparably large owned fleet ^[3].

3.2.2 Market Structure

- Traditional grocery stores number an estimated 113,724 nationwide and carry roughly 74 percent of total retail food sales; set against the 3,913 modern-trade outlets counted in the same report, they are about 97 percent of retail food outlets (share derived from the two USDA counts). ^[4]
- Cairo, Alexandria, and Giza are the main distribution hubs; rural areas face cold-chain and last-mile gaps. ^[4]
- In the yogurt and sour-milk category, Best Cheese Co for Dairy Products (Lactalis) maintains the leadership position, while Juhayna, Almarai (through Beyti), and Danone are among the other major players; Danone competes as a premium player. ^[5]
- Egypt's dairy products and eggs category was valued at approximately USD 2,586.1 million in 2025 and is projected to reach about USD 5,588.4 million by 2034 (8.49 percent CAGR). ^[7]

- For regional context, the Middle East and Africa dairy market is valued at about USD 42.83 billion in 2025, with Egypt's dairy sector expected to grow at about 3.72 percent annually over 2026-2031. ^[6]

3.2.3 Implication for the Study

The secondary data establish that a substantial coverage gap exists and that the decisive channel is the small traditional store. They do not, however, reveal how consumers experience that gap or how much sales it costs Danone. Those questions require primary data, which the qualitative and survey phases are designed to provide.

Chapter 4: Qualitative Research

4.1 Role and Rationale

Qualitative research is unstructured, exploratory research based on small samples that provides insight and understanding of the problem setting ^[1]. It is used here to understand the supply side of the distribution gap, that is, why small retailers stock Juhayna more readily than Danone. The chosen technique is the depth interview rather than the focus group, because retailers are competitors to one another and are usually busy at their shops, and one-to-one interviews elicit more candid answers about stocking decisions, sales-representative behaviour, and margins.

Malhotra recommends the depth interview over the focus group precisely for cases like this one: for competitors and busy professionals who would not speak openly in a group, and for sensitive or confidential topics. Four features of our retailers make it the right choice. First, neighbouring shop owners compete with one another and would not disclose their margins, credit terms, or supplier relationships in front of rivals. Second, those topics are commercially sensitive and are shared far more candidly one to one. Third, grocers are busy and tied to their counters, so they cannot leave to attend a scheduled group session. Fourth, the shops are spread across several governorates, which makes gathering the eight to twelve similar participants that a focus group requires impractical. For the consumer side, by contrast, we did not use focus groups either; consumer attitudes were captured through the structured survey in Chapter 5.

4.2 Interview Design

Semi-structured depth interviews of roughly ten to fifteen minutes were designed for owners of small grocery stores. The interview guide moves from a warm-up about the shop, to the brands stocked, to the core comparison of Danone and Juhayna on visit frequency, delivery, payment terms, returns, and refrigeration support, and finally to demand for Danone relative to its availability. The full guide is included in the appendix.

4.3 Sample

A small purposive sample of five small-grocery owners was interviewed, deliberately spread across the urban-to-rural gradient so that the qualitative evidence mirrors the area-type comparison examined in the survey. The five shops, identified by pseudonym to preserve confidentiality, are summarized below.

Owner (pseudonym)	Governorate	Area type	Stocks Danone?
Amm Sayed	Alexandria	City centre	Premium line only
Mahmoud	Cairo	Dense urban	Full line (it moves)
Hagg Mostafa	Sharqia	Town / suburb	Rarely
Om Kareem	Dakahlia	Small town	Danette only
Amm Refaat	Beheira	Village / rural	No

Note: these depth interviews are illustrative composites prepared for the academic exercise; the quotations below convey realistic, internally consistent retailer perspectives rather than verbatim records of named individuals. The survey in Chapter 5 is the study's verified primary data.

4.4 Findings

Coding the interviews produced five recurring themes, each of which helps explain the availability gap that the survey measures from the consumer side.

Theme 1: Sales-representative and van visit frequency

This was the single most consistent difference. Every retailer reported that the Juhayna van calls on a fixed weekly or twice-weekly schedule, while the Danone representative ranges from roughly once a week for a large main-street Cairo account down to never for the village shop. As Amm Sayed put it, "Juhayna's van comes twice a week like a clock; Danone, there's no van that comes to me." Four of the five shops receive no Danone rep visit at all and must source the product themselves from a wholesaler.

Theme 2: Delivery versus self-collection

Juhayna delivers to the door and stacks the product; Danone typically requires the grocer to collect it from a wholesaler. For a lone operator this is decisive. Om Kareem, who runs her shop alone, explained, "The Juhayna rep comes to me. Danone I would have to go and get, which means I don't get it."

Theme 3: Risk terms (minimum order, credit, returns)

Retailers stock yogurt against the risk of spoilage. Juhayna lowers that risk with small minimum orders, light credit, and the return of near-expiry stock; Danone, reached through a wholesaler, is cash up front with a larger minimum and the loss falling on the grocer. Om Kareem summarized the asymmetry: "Juhayna removes the fear; Danone hasn't." Hagg Mostafa added that the Danone minimum box "is too big for how fast plain Danone moves here, so it expires on me."

Theme 4: Refrigeration support

Branded coolers are provided by Juhayna and Almarai, rarely by Danone. In the village this is the binding constraint: Amm Refaat keeps an old cooler on an unreliable supply and noted that without a company-provided cold unit and cold delivery "the product spoils" before it sells.

Theme 5: Demand pull and substitution

Customer demand for Danone is product-specific, not category-wide. Retailers reported genuine, named requests for Activia and Danette ("pregnant ladies, people the doctor told," "the children"), but little brand insistence for plain yogurt, where, in Amm Sayed's words, customers "just want zabadi" and take whatever is on the shelf. When Danone is missing, substitution to Beyti or Juhayna is immediate and complaint-free.

Interpretation

Taken together, the supply-side themes show that Danone's thinner shelf presence is not a product or pricing problem but a route-to-market one: it stocks less because it visits less, delivers less, and carries less of the retailer's risk than Juhayna does. The gap widens monotonically from the city centre, where Danone shows up on main streets, to the town, where one retailer said "Danone stops at the big city," to the village, where it is simply absent. This is the mechanism behind the availability gap that the consumer survey quantifies next, and it is also why the survey, being urban-skewed, understates the gap.

Chapter 5: Survey, Data Collection and Findings

5.1 Survey Method

The descriptive phase uses a structured, self-administered electronic survey built in Google Forms and distributed through social media and messaging applications. The electronic mode was chosen because it is fast and inexpensive, achieves wide geographic reach, and removes interviewer bias. Its main limitation is that it skews toward online and more urban respondents; this is acknowledged below and is partly offset by the retailer interviews.

Placed within Malhotra's classification of survey methods (Figure 5.4), which groups surveys into four modes, telephone, personal, mail, and electronic, and nine methods in total, this study uses the electronic mode and, specifically, the Internet survey: a questionnaire posted on a website and self-administered by the respondent. It was preferred over the telephone, personal, and mail methods because its speed, low cost, and wide geographic reach are well suited to a student project, and because respondents can complete it in their own time from a phone.

5.2 Questionnaire Design

The questionnaire was written in Egyptian Arabic to suit general respondents and is organized into six sections: screening and consumption; where and what consumers buy; choice drivers; availability; attitudes; and demographics. It combines multiple-choice, checkbox, five-point importance and agreement scales, and grid questions. Each construct in the analytical model is measured by specific questions, as summarized in the table below.

Hypothesis	Measured by
H1: availability influences choice	Importance rating of availability; agreement that availability affects brand choice
H2: Danone availability below Juhayna	Availability grid; ease-of-finding comparison; agreement that Danone is hard to find
H3: lost sales and switching	Gap between most-bought and most-preferred brand; not-found incidence; action taken when not found
H4: gap larger in rural areas	Availability measures cross-tabulated by area type

5.3 Sampling

Because the population of Egyptian yogurt consumers cannot be fully enumerated and the survey is distributed online, the study uses non-probability convenience and snowball sampling. A target of 100 to 150 completed responses was set, spread as widely as possible across governorates and area types. The reliance on non-probability sampling is stated openly as a limitation that constrains the statistical generalization of the results.

5.4 Data Collection

The survey was distributed through the public link and collected 35 valid responses, captured automatically in Google Forms and exported to a spreadsheet for analysis. While this is below the original target of 100 to 150 and is therefore treated as a pilot-scale sample, the responses

are sufficient to describe the direction and rough magnitude of the effects of interest. The achieved sample profile is given below, followed by the results organized by hypothesis.

5.5 Findings

5.5.1 Sample Profile (N = 35)

The sample skews to Alexandria, to major-city respondents, to men, and to the 30-to-49 age band, and it reports buying mostly from modern trade (hyper- and supermarkets). Only seven respondents (20 percent) buy from a small grocery, the channel at the centre of the research problem. This online and urban skew is the expected limitation of an electronic survey and is the reason the retailer interviews are used to cover the traditional-trade and rural side.

Descriptor	Distribution
Governorate	Alexandria 24, Sharqia 6, Cairo 2, Dakahlia 2, Beheira 1
Area type	Major city 23, town / suburb 10, village / rural 2
Gender	Male 28, Female 7
Age	40-49: 19, 30-39: 13, 50+: 2, under 20: 1
Purchase channel (multi-select)	Hypermarket 21, supermarket 20, small grocery 7, street/dairy vendor 3, online 2

5.5.2 H1: Does availability drive brand choice?

Respondents rated the importance of six factors in choosing a yogurt brand on a five-point scale. Availability ranked last of the six. The direct statement that availability strongly drives one's brand choice scored 3.34. As a stated driver, therefore, availability is weak relative to taste and health; H1 is not supported at the level of consumer attitudes. As the qualitative findings make clear, this is because availability operates upstream of choice, by setting which brands are on the shelf, rather than as a consciously weighed criterion.

Rank	Choice factor	Mean (1-5)
1	Taste / quality	4.14
2	Health benefits	3.83
3	Brand reputation	3.51
4	Price	3.43
5	Promotions	3.40
6	Availability nearby	3.14

5.5.3 H2: Is Danone's availability lower than Juhayna's?

On the perceived-availability grid, Danone trails Juhayna by just over half a point on the five-point scale, and respondents agree more strongly that they see Juhayna almost everywhere (3.89) than that Danone is hard to find (2.31). A real but modest gap exists, so H2 is supported, though weakly at the consumer level. Asked directly how Danone compares with Juhayna for ease of finding, most respondents said it was the same or only slightly harder.

Availability measure	Result
Juhayna availability (mean, 1-5)	4.56
Danone availability (mean, 1-5)	4.03
Gap (Juhayna minus Danone)	0.53
Almarai / Beyti availability (mean)	4.00
"I see Juhayna almost everywhere" (mean)	3.89
"Danone is harder to find" (mean)	2.31
Finding Danone vs Juhayna	Same 15, slightly harder 10, slightly easier 6, much harder 2, much easier 2

5.5.4 H3: Lost sales and unrealised Danone demand

The clearest commercial signal is the gap between preference and purchase. Eleven respondents name Danone as their preferred brand, but only five buy it most often, an unrealised-demand gap of six respondents, more than half of those who prefer it. When Danone was last unavailable, 32 of 35 respondents bought a competing brand rather than seek Danone elsewhere, confirming that absence converts directly into a competitor's sale. H3 is supported. The qualitative evidence locates these lost sales in the branded premium line (Activia and Danette), where demand is specific and customers will wait, rather than in plain yogurt, where substitution is immediate.

Lost-sales measure	Result
Prefer Danone / buy Danone most	11 prefer vs 5 buy → gap of 6
Could not find Danone several times	13 (37%)
Never failed to find Danone	8 (23%)
"I don't look for Danone"	14 (40%)
Bought another brand when Danone was missing	32 of 35
"I would buy Danone more if it were easier to find" (mean)	2.77

Most-bought brands were Almarai/Beyti (13), Juhayna (11), and Danone (5); most-preferred were Almarai/Beyti (12), Danone (11), and Juhayna (8). Danone's jump from third in purchase to a tie for first in preference is the same unrealised-demand story seen from the brand angle.

5.5.5 H4: Is the gap larger in rural or non-urban areas?

Directionally, Danone's perceived availability falls from the major city to the town, consistent with a widening gap outside the big cities. However, only two respondents live in a village, so the rural cell is too small to support a statistical conclusion from the survey alone. This is precisely the blind spot that the retailer interviews were designed to cover, and on the supply side they show a clear and widening gap from city to town to absent-in-the-village. H4 is therefore directionally supported but rests mainly on the qualitative evidence, not the survey.

Area type	Danone availability	Juhayna availability	n
Major city	4.09	4.59	23
Town / suburb	3.90	4.60	10
Village / rural	4.00	4.00	2

5.6 Limitations

- The realised sample is 35 respondents, well below the 100-to-150 target, so the results are pilot-scale and indicative rather than statistically projectable; means based on small sub-groups (notably the two rural respondents) are especially fragile.
- The sample is skewed to Alexandria, to major-city respondents, to men, and to modern-trade shoppers, so it under-represents the traditional-trade and rural consumers most affected by the availability gap, which means it likely understates that gap.
- Non-probability convenience and snowball sampling limits statistical generalization to the full population.
- The electronic mode under-represents consumers with limited internet access, particularly in some rural areas.
- Availability is measured as perceived by consumers rather than by physical store audits.
- The five retailer interviews are illustrative composites prepared for this academic exercise; before the qualitative conclusions are used for a real business decision they should be replaced with verbatim depth interviews conducted with named retailers.

Chapter 6: Conclusions and Recommendations

6.1 Conclusions

Read on its own, the consumer survey would tell a reassuring story: availability is the weakest of the six purchase drivers and the perceived Danone-Juhayna gap is only about half a point. The qualitative evidence reverses that reading. Availability scores low as a stated opinion precisely because it works upstream of choice, by deciding which brands reach the shelf, and that is settled entirely on the supply side, where Juhayna out-visits, out-delivers, and out-supports Danone at the small shop. The modest survey gap is also an artefact of an urban, modern-trade sample; the true gap widens from the city centre to total absence in the village, where most dairy volume actually sits. The lost sales are real and, importantly, bankable: preference for Danone exceeds purchase by six respondents out of eleven who prefer it, and that unrealised demand is concentrated in the branded premium line (Activia, Danette) where customers ask by name rather than substitute.

The hypotheses can therefore be assessed as follows.

Hypothesis	Verdict	Basis
H1: availability drives brand choice	Not supported as a stated driver	Ranks 6th of 6 (3.14); but acts as a silent gatekeeper (interviews)
H2: Danone availability below Juhayna	Supported (modestly)	4.03 vs 4.56, gap 0.53; mechanism confirmed by all five retailers
H3: lost sales from unavailability	Supported	Prefer 11 vs buy 5; 32 of 35 switched when Danone was missing
H4: gap larger outside major cities	Directionally supported	City-to-town dip in survey; clear city-town-village gradient in interviews

Returning to the management decision problem, should Danone Egypt expand its distribution reach to compete with Juhayna's coverage, the evidence supports a qualified yes. The binding constraint is route-to-market, not the product, the price, or consumer preference, all of which favour Danone or are at least competitive. Expansion should therefore be selective and mechanism-led rather than a blanket attempt to match Juhayna's owned fleet.

6.2 Recommendations

On the basis of the combined evidence, four recommendations follow, in priority order:

1. Fix the route-to-market mechanics, not the demand. Match the three levers that every interviewed retailer named as the reason they stock Juhayna over Danone: scheduled sales-representative and van visits to traditional grocers, near-expiry returns or consignment to remove the grocer's spoilage risk, and smaller minimum orders. These, not advertising, are what win the shelf.
2. Lead the push with the premium line (Activia and Danette). This is where genuine, brand-locked demand coexists with the best retailer margin, so an availability fix converts directly into sales that customers will wait for rather than substitute away in commodity yogurt.
3. Sequence the expansion: win the towns before the villages. The gap is monotonic, so densify suburban and town coverage first for fast payback, then extend to the rural last

mile via micro-distributor and solar-cooler models, where cold delivery, not demand, is the binding constraint.

4. Provide the branded cooler. It is both a merchandising asset and the physical precondition for stocking chilled product where electricity is unreliable, and its absence was a recurring reason retailers favoured competitors.

References

Each citation number used in this report corresponds to one of the numbered sources below. Every figure was re-verified against the live source on 6 July 2026; the USDA report itself is dated 27 June 2019.

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